



CIE Level 1

Getting Started with Entrepreneurship

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Effectuation

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Pre-Session Activities: Effectuation

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What makes Entrepreneurs Entrepreneurial



Questions based on Dr. Saras Sarasvathy's paper: "What makes entrepreneurs entrepreneurial?"

1. *Problems/challenges with 'managerial' &/or 'strategic' approach?
How is effectual approach different (compared to managerial/strategic approach)*
2. *What is the process of effectual reasoning?*
3. *What are the principles of effectuation?
Can you think of examples from your own life (or other business) that support the principles of effectuation? Are there any counter examples?*
4. *What is the logic behind effectuation?*
5. *Can the same person be (or use) causal and effectual (methods)? Mutually exclusive?*
6. *In the example given (U-Haul company - www.uhaul.com), what are your thoughts on how the principles of effectuation played out? What are some examples?*

Effectuation

Another Approach to Starting a Startup

Originator: Dr. Saras Sarasvathy,
(Darden School of Business, University of Virginia)

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Effectuation



CIE @
10th Effectuation Conference (Berlin, 2019)



Dr. Saras Sarasvathy @
10th Effectuation Conference (Berlin, 2019)

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Causal vs Effectual



Causal:

expressing or
indicating cause

*relating to or showing the
cause of something*

Effectual:

producing or able to
produce a desired effect

*suggests the accomplishment of
a desired result especially as
viewed after the fact.*

From Merriam Webster Dictionary

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Causal Logic

How Entrepreneurs Build Ventures: *Causal* logic (conventional wisdom)

- Come up with a brilliant idea
- Show there is a large market for it
- Write a winning business plan
- Raise money
- Build and grow the venture
- Go public or sell
- Go off to the Bahamas ☺



**Is there another way to think
about getting started?**

Let's use an Analogy.....

Preparing dinner

When you go to cook dinner how do you cook?

1. Have a specific menu,
shop for the ingredients,
follow the recipe
2. Have a look in the fridge,
see what's in there and make
dinner accordingly



Effectual dining

Effectual reasoning often requires...



Imagination

Risk-taking

Spontaneity

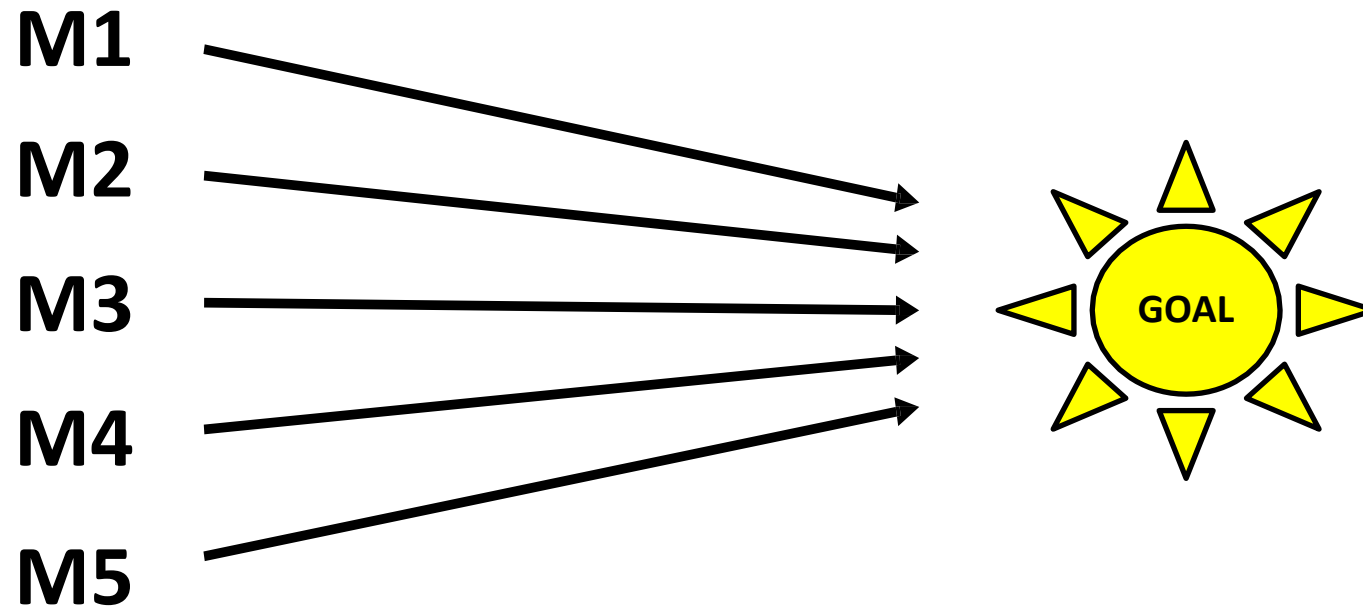
Salesmanship



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A Managerial Approach

*Causal reasoning to achieve a given goal:
following pre-existing pathways*

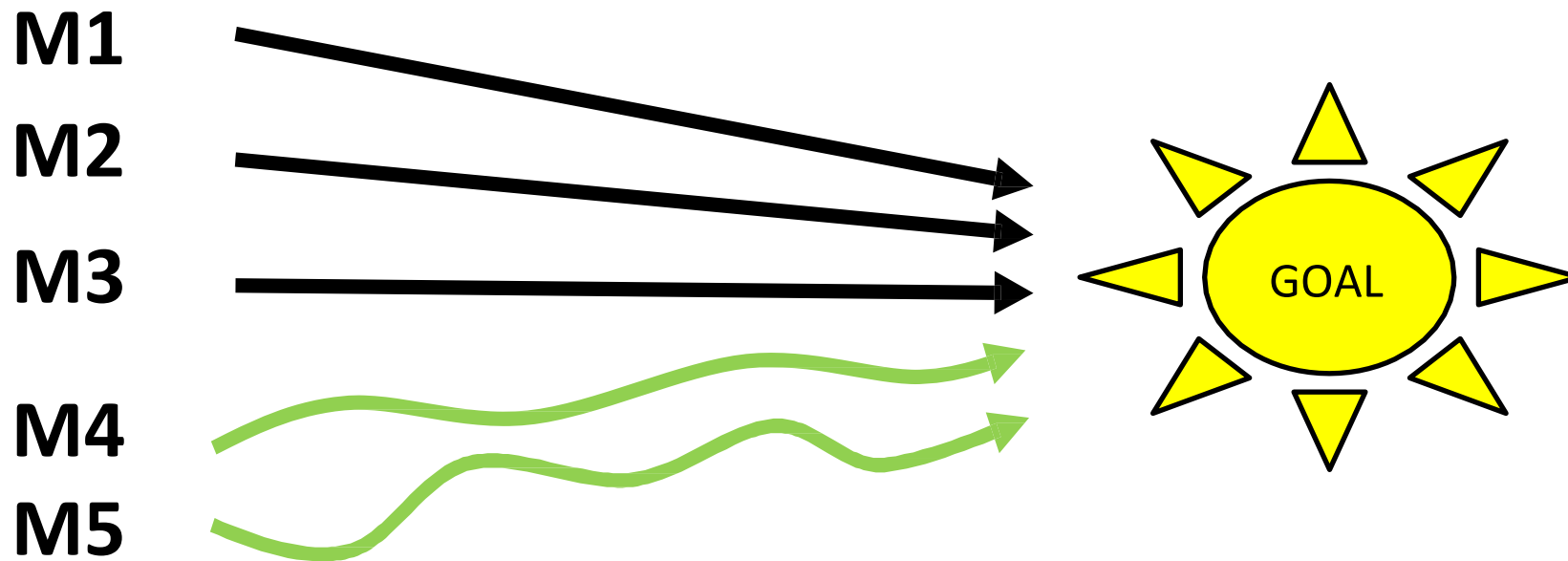


M : (means/resources)

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A Strategic Approach

*Creative causal reasoning to achieve a given goal:
involving the creation of new pathways*

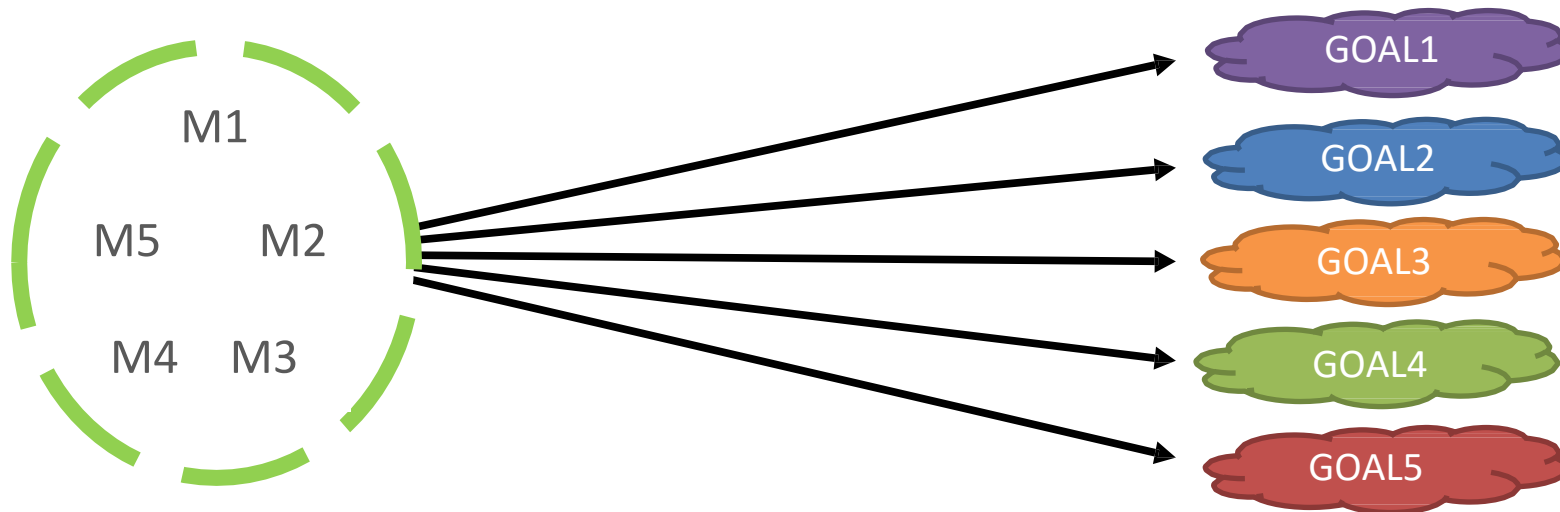


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An Entrepreneurial Approach

Effectual reasoning:

Using a given set of means, start imagining new possibilities



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An Effectual Approach



- Effectuation considers *entrepreneurship as a series of decisions*
- Decision-making can be applied in *ambiguous or uncertain settings*
- Entrepreneurs imagine outcomes and use means to move into action without elaborate planning*

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Effectuation - Definition

*Work with what's already within your control
to co-create the future*



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The Key Finding

*To the extent we can predict the future,
we can control it*



*To the extent we can control the future,
we don't need to predict it*

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Effectuation in Action

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A brief guide to Effectuation - Discussion



1. **Process -> linear or iterative?**
2. **What do you think are 2 things that get shaped along the way?**
3. **How important is 'knowing yourself'? Why?**
4. **Why are stakeholder commitments important?**

Refer to 'A brief guide to Effectuation' video (Pre Session Video)

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Effectuation Example

An illustration of the effectual process carried out by mompreneurs

From an exploratory research of French mompreneurs, d'Andria [DAN 14] highlights the effectual logic of their entrepreneurial process. Results suggest that the theory of effectuation is an appropriate and innovative framework for understanding mompreneur business creation.

Mompreneurs decide to start-up business in agreement with their means and in a relatively short time:

– I was watching TV; they presented young people in the process of raising funds. And I said to myself: If they succeed, why not me? (...) and I created my company before having defined my project.

– I was surfing a lot on the Internet, especially about pregnancy clothes, but I found the offer rather poor. I said to myself: What can I do with it? It was then that I had the idea to create a site offering both information and products of high quality and not too expensive.

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Effectuation Example

They define acceptable losses:

- *To start my company, I used family savings.*
- *I started small, with just 30,000 euros to buy products to start and see if it could work.*

They build a network:

- *I talked about it, and then I formed a small team of testing mothers.*
- *When you do not know how to do it, you just have to ask for advice and surround yourself with skills from the network of friends or relationships established during your professional life.*

They decide to create their universe:

- *I wanted to make all this happen, but I will not just sell the products of others, but create my clothing line.*

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Principles of Effectuation

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Bird-in-Hand Principle



Bird-in-hand principle: Start with your means
Start with Who you are, What you know, & Whom you know

When expert entrepreneurs set out to build a new venture, they start with their means:

who I am, what I know, and whom I know.

Then, the entrepreneurs imagine possibilities that originate from their means.



Affordable loss principle: Focus on Downside Risk

Invest what you can afford to lose – extreme case \$0

Expert entrepreneurs limit risk by understanding what they can afford to *lose* at each step, instead of seeking large all-or-nothing opportunities.

They choose goals and actions where there is upside even if the downside ends up happening.



Lemonade principle: Leverage contingencies Embrace and Leverage surprises

Expert entrepreneurs *invite* the surprise factor.

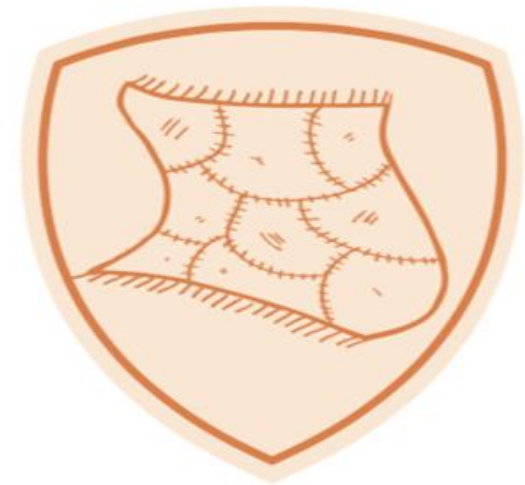
Instead of making “what-if” scenarios to deal with worst-case scenarios, experts interpret “bad” news and surprises as potential clues to create new markets.



Crazy Quilt principle: Form partnerships Build a network of self-selected stakeholders

Expert entrepreneurs *build partnerships with self-selecting stakeholders.*

By obtaining pre-commitments from these key partners early on in the venture, experts reduce uncertainty and co-create the new market with its interested participants.



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Pilot-in-the-Plane Principle

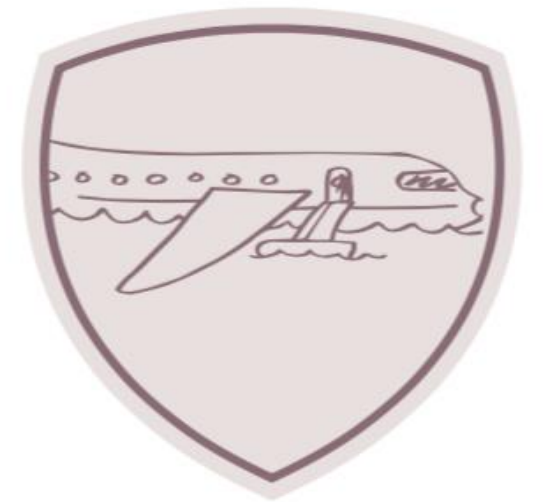


Pilot-in-the-plane principle:

Co-create the future

By focusing on activities within their control, expert entrepreneurs know their actions will result in the desired outcomes.

An effectual worldview is rooted in the belief that the future is neither found nor predicted, but rather made



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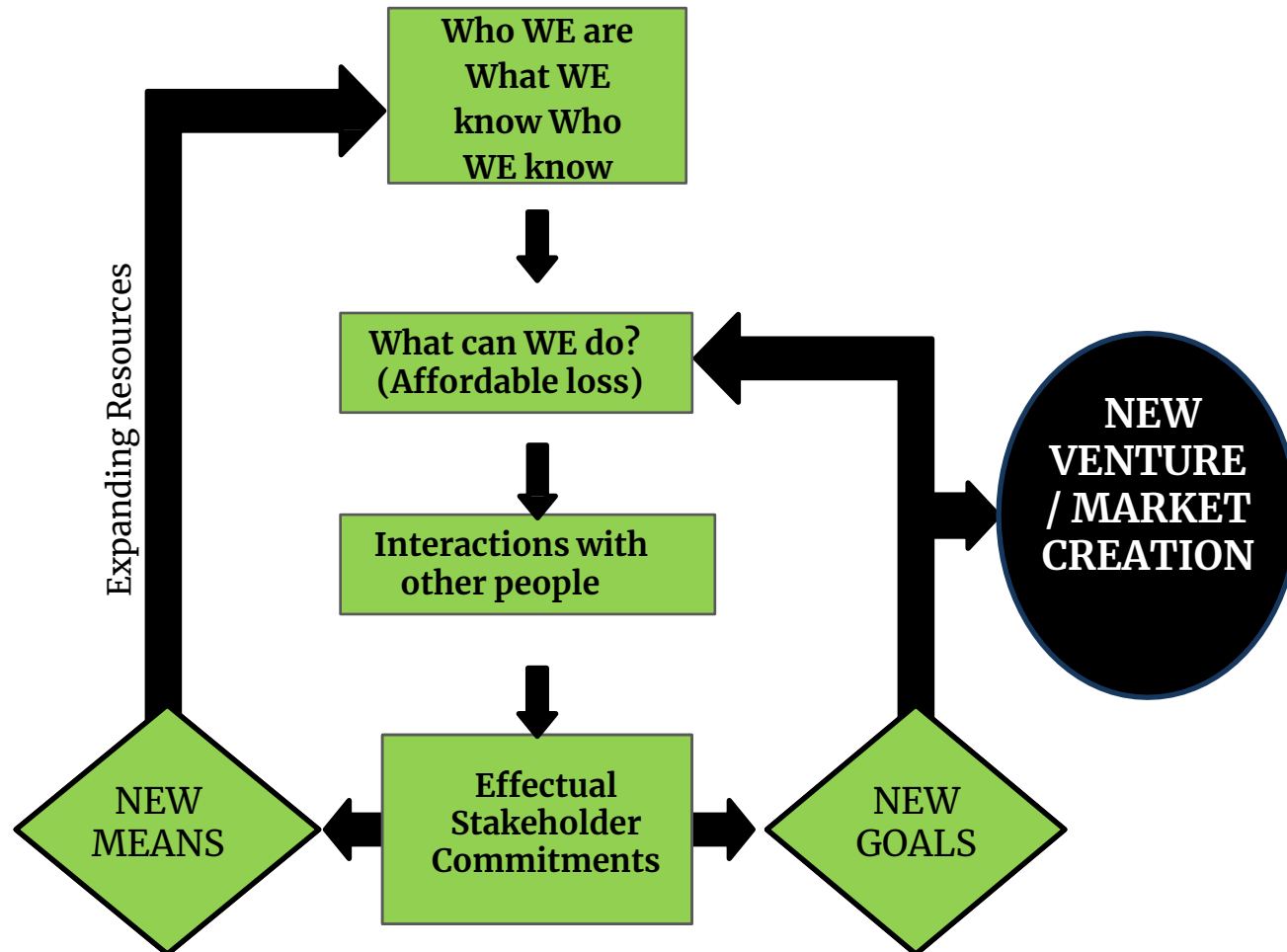
Principles of Effectuation: Summary



- **Bird-in-hand principle:**
Start with Who you are, What you know, & Whom you know (Not pre-set goals/opps)
- **Affordable loss principle:**
Invest what you can afford to lose – extreme case \$0 (Not expected return)
- **Crazy Quilt principle:**
Build a network of self-selected stakeholders (Not competitive analysis)
- **Lemonade principle:**
Embrace and Leverage surprises (Not avoid them)
- **Pilot-in-the-plane principle:**
Co-create the future (Not find inevitable trends)

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Effectuation: Summing it Up



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When to use / not use Effectuation?



EFFECTUAL LOGIC IS
LIKE 1ST & 2ND GEAR



You need them to start your business but
eventually you shift away from effectual logic

effectuation IS

A thinking framework
a set of heuristics
doing the do-able
how to get the sellable products and
services established



effectuation IS NOT

a system to tell you what to do
an algorithm
"not planning"
a way to launch an entire business

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Post Session Brief

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Activity on Effectuation (Team)



As a startup team

- Discuss the 5 principles of effectuation
- Come up with examples of these 5 principles from your personal experience / life
- Post report on team wall

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Graded Activity / Assignment (Individual)



Based on *Indian Tech Startup Ecosystem – Leading Tech in the 20s* (2019, NASSCOM/Zinnov)
Capture the responses to below:

1. Definition of startup (based on this report)
2. Name at least 5 key characteristics of the Indian Startup Landscape
3. Top 5 *Sectors/Markets* that Startups are focused on & what's causing/driving growth of these sectors?
4. a) What are the top 5 *Deep-Tech* that the startups are pursuing?
b) Pick any 2 advanced tech and describe 1) why this is important for India 2) your reasons for the same
5. Pick any one India startup that is a Unicorn (market valuation of \$1Billion or more) & write a summary
in 250 words describing a) Product/solution 2) Industry/Market 3) About the founding Team and current team size 4) Last year revenue / market cap and any other aspect that you find interesting



THANK YOU

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